ANSWER KEY & MARKING SCHEME SET 1

Chapter 20: **Globalisation and the Indian Economy (Economics)** | Class 10 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(b)** liberalisation	Done in India in 1991
2	**(d)** information and communication technology	ICT links countries
3	**(c)** imports	Part of foreign trade
4	**(d)** World Trade Organisation	Its rules apply to member countries
5	**(d)** lower cost of labour	Reduce cost of production
6	**(a)** call centres	BPO services
7	**(a)** five years	They also have flexible labour laws
8	**(a)** tariff	It makes imports costlier
9	**(b)** placed barriers on imports	Done after independence
10	**(c)** exports	Foreign trade

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	Benefits shared by all (1); Protects small producers and workers (1).	1+1
12	World Trade Organisation (1); Aims to liberalise trade (1).	1+1
13	It is a Special Economic Zone (1); It offers world-class facilities such as electricity, water and roads (1).	1+1
14	A quota is a limit on the number of goods that can be imported (1); It is a trade barrier (1).	1+1

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	Services can be provided across borders (1); It shows the use of information and communication technology (1); It creates employment in India (1).	1+1+1
16	They have more choice of goods (1); The quality of goods has improved (1); Competition has brought down prices (1).	1+1+1
17	Two companies produce together (1); MNC brings technology (1); Local firm brings knowledge (1).	1+1+1
	OR: Earlier protection did not give enough competition (1); To access technology and investment (1); To integrate with the world (1).	1+1+1
18	Improvements in technology (1); Liberalisation of trade and investment (1); Better transport and information and communication technology (1).	1+1+1
	OR: WTO was started at their initiative (1); They have kept their own trade barriers (1); Developing countries object to this unfairness (1).	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	Consumers have more choice (1); The quality of goods is better (1); Prices are lower because of competition (1); Better-off urban consumers have gained the most (1); The poor have gained less (1).	1+1+1+1+1
	OR: It creates opportunities for all (1); Workers' rights are protected through labour laws (1); Small producers are given support (1); Fair trade rules are negotiated at the WTO (1); The government plays an active role (1).	1+1+1+1+1
20	They buy local companies (1); They set up joint production with local companies (1); They place orders with small producers (1); They set up factories where costs are low (1); This helps them reduce costs (1).	1+1+1+1+1
	OR: It aims to liberalise international trade (1); It makes rules for trade among members (1); Developed countries have a strong influence on it (1); Developing countries raise concerns about unfair rules (1); Many argue that rules should be made fair (1).	1+1+1+1+1

Mistakes to avoid:

- Defining an MNC as any big company; an MNC is one that **owns or controls production in more than one nation**.
- Mixing up **foreign trade** (buying and selling goods across borders) with **foreign investment** (money spent on assets by an MNC in another country).

- Writing that liberalisation means **adding** trade barriers; it means **removing** barriers or restrictions, as India did from about 1991.
- Saying globalisation benefited everyone equally; the chapter shows gains for consumers and some producers but stress for **small producers and workers**.
- Listing only trade as the link between countries: also **investment, technology and the movement of people**.
- Thinking that trade barriers are always bad or only developing countries use them: developed countries also kept them, and the WTO's rules are **not applied fairly**.

Evaluator's note: Award step marks as shown; accept any correct alternative method. In internal-choice questions, evaluate only the option attempted. Deduct up to ½ mark for missing units or figures where required.

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ANSWER KEY & MARKING SCHEME SET 2

Chapter 20: **Globalisation and the Indian Economy (Economics)** | Class 10 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(d)** Special Economic Zone	Offers world-class facilities
2	**(c)** competition from cheap imports	Many units closed
3	**(d)** Globalisation links markets of different countries	Markets are integrated
4	**(b)** multinational company	It set up a plant near Chennai
5	**(a)** issue the currency of a country	Only the RBI issues currency
6	**(b)** more choice	Better quality products at competitive prices
7	**(a)** foreign investment	Buys land, factories, machines
8	**(d)** a joint production	An MNC and a local firm can do this
9	**(b)** protecting workers' rights	Labour laws should be implemented
10	**(c)** machinery, fertilisers and petroleum	Only essential items

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	Integration of countries through trade and investment (1); Rapid interconnection of markets (1).	1+1
12	Infosys (1); Tata Motors, Ranbaxy or Asian Paints (1).	1+1
13	A company owning or controlling production in more than one country (1); Example: Ford Motors (1).	1+1
14	The toy industry was hurt by cheap imports (1); The battery or tyre industry was also hurt (1).	1+1

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	Large firms gain more (1); Small producers lose (1); Workers' jobs less secure (1).	1+1+1
16	Companies can hire workers on a temporary basis (1); Jobs less secure (1); Workers get lower wages (1).	1+1+1
17	Wider choice for consumers (1); Wider market for producers (1); Competition (1).	1+1+1
	OR: Tariffs are taxes on imports (1); Quotas limit the number of goods imported (1); Both restrict imports (1).	1+1+1
18	Telecommunication links distant places (1); Computers and the internet allow work to be shared (1); Services such as call centres can be provided across countries (1).	1+1+1
	OR: SEZs are Special Economic Zones (1); They have world-class facilities (1); Companies in them get tax benefits for an initial period (1).	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	Improvements in transport technology (1); Information and communication technology (1); Liberalisation of trade and investment (1); Foreign investment policy of governments (1); Pressure from the WTO (1).	1+1+1+1+1
	OR: Liberalisation means removing barriers set by the government (1); India began this around 1991 (1); Imports and foreign investment increased (1); Competition increased (1); The effects have been mixed for different groups (1).	1+1+1+1+1
20	SEZs have world-class facilities (1); Companies need not pay taxes for an initial five years (1); Labour laws are applied flexibly (1); They are meant to attract foreign investment (1); They are expected to create employment (1).	1+1+1+1+1
	OR: They gained technology and capital (1); They invested abroad (1); Examples are Tata Motors, Infosys, Ranbaxy and Asian Paints (1); They became more competitive (1); They reached global markets (1).	1+1+1+1+1

Mistakes to avoid:

- Defining an MNC as any big company; an MNC is one that **owns or controls production in more than one nation**.
- Mixing up **foreign trade** (buying and selling goods across borders) with **foreign investment** (money spent on assets by an MNC in another country).
- Writing that liberalisation means **adding** trade barriers; it means **removing** barriers or restrictions, as India did from about 1991.

- Saying globalisation benefited everyone equally; the chapter shows gains for consumers and some producers but stress for **small producers and workers**.
- Listing only trade as the link between countries: also **investment, technology and the movement of people**.
- Thinking that trade barriers are always bad or only developing countries use them: developed countries also kept them, and the WTO's rules are **not applied fairly**.

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ANSWER KEY & MARKING SCHEME SET 3

Chapter 20: **Globalisation and the Indian Economy (Economics)** | Class 10 Social Science | Maximum Marks: 40

SECTION — A (Objective Type) — Answers — 10 × 1 = 10

Q.	Correct Option	Brief Reasoning
1	**(a)** 1991	After this the economy opened
2	**(d)** Infosys	Ranbaxy and Asian Paints too
3	**(b)** toys	Also batteries and tyres
4	**(a)** competition among producers	Producers compete worldwide
5	**(c)** cell phones, automobiles and fast food	Industries with urban markets
6	**(b)** Cargill Foods	An American MNC
7	**(c)** containers	Large volumes can be moved cheaply
8	**(d)** foreign trade and foreign investment	They integrate markets
9	**(c)** quota	A trade barrier
10	**(a)** multinational corporation	It sets up offices and factories abroad

SECTION — B (Very Short Answer) — Answers — 4 × 2 = 8

Q.	Expected Answer / Value Points	Marks
11	Cheap labour and resources (1); Large markets (1).	1+1
12	A tariff is a tax on imports (1); It is a trade barrier that makes imports costlier (1).	1+1
13	Exchange of goods across countries (1); Links markets (1).	1+1
14	Removing barriers set by government (1); Started in India in 1991 (1).	1+1

SECTION — C (Short Answer) — Answers — 4 × 3 = 12

Q.	Expected Answer / Value Points	Marks
15	They face competition from cheap imports (1); They lack technology and capital to compete (1); Many units have closed down (1).	1+1+1
16	Labour laws must be implemented properly (1); Small producers should be supported (1); The government should seek fair rules at the WTO (1).	1+1+1
17	It can buy up local companies (1); It can set up joint production with local companies (1); It can place orders with small producers (1).	1+1+1
	OR: Labour is cheap (1); Skilled engineers are available (1); India has a large market and Chennai has a port for exports (1).	1+1+1
18	Tata Motors has benefited (1); Infosys and Ranbaxy have benefited (1); Asian Paints has also benefited (1).	1+1+1
	OR: They have world-class facilities (1); Companies get a tax holiday for an initial five years (1); Labour laws are applied flexibly (1).	1+1+1

SECTION — D (Long Answer) — Answers — 2 × 5 = 10

Q.	Expected Answer / Value Points	Marks
19	They face competition from cheap imports (1); Toys, batteries and tyres were affected (1); Many units closed down (1); Workers lost jobs (1); They need support from the government (1).	1+1+1+1+1
	OR: MNCs have invested in cell phones and automobiles (1); They have invested in electronics, soft drinks and fast food (1); They have invested in services such as banking (1); They have created jobs (1); They compete with local firms (1).	1+1+1+1+1
20	Foreign trade links the markets of different countries (1); Foreign investment by MNCs builds factories abroad (1); MNCs coordinate production across countries (1); Technology makes this easier (1); Countries become interdependent (1).	1+1+1+1+1
	OR: Many jobs became temporary (1); Labour rules became more flexible (1); Wages are lower in many jobs (1); Small firms closed and workers lost jobs (1); New jobs appeared in services (1).	1+1+1+1+1

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